

# Economic Foundations

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*The case for a collaborative internet — sources for the economic argument*

*Working note v0.3 · June 22, 2026*

*A research note for the founding documents. All sources are verified against live sources and characterized accurately here — the five load-bearing works (Jones & Tonetti, Mian & Sufi, Ostrom, Axelrod, Benkler) and the supporting references (Piketty, Graeber, Hudson, the EPI productivity–pay series, and the Loury / Dasgupta–Stiglitz work on R&D racing). Two claims are deliberately hedged in the text rather than asserted as settled: Piketty’s  $r > g$  is a contested thesis, correctly attributed but not treated as fact, and the EPI productivity–pay figures vary with the wage measure used. Full citations, with each source’s verification tier, are in the notes at the end. Last touched June 22, 2026.*

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## What the source recording (zion9) argues

Three moves, in plain terms:

1. **The real problem isn’t inequality — it’s debt concentration.** Capitalism removed the *coercion* of state-enforced sharing and raised living standards for a long time; that much is true. But it trends toward a world where *a growing number of people are in debt to a shrinking number of people*. Income inequality by itself is just a gap; the **creditor/debtor relation is a power relation**, and that is the thing worth reversing — voluntarily, not coercively.
  2. **Collaboration contains competition; competition cannot contain collaboration.** A collaborative system can *choose* to run a friendly competition whenever that is the best way to solve a problem. A competitive system cannot choose to collaborate without dissolving the competition. So collaboration is the more general, more powerful frame.
  3. **Two foot-races (the value test).** If the goal is *get everyone across the line in the shortest time* and each person must cover the distance themselves, a friendly race is optimal — start together, push each other, cheer each other on. If the goal is *cover the most total distance in a fixed time* and runners can tag in and out, the optimum is a **relay**: the fastest run while others rest, then swap. A purely competitive rule, everyone runs the whole way alone, wastes effort and loses. The ask: motivate the **economic advantage of a collaborative internet over a competitive one, measured in real value produced for end users**.
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## The precise thesis (as refined)

A clarification worth pinning down, because it pre-empts the obvious misreading. The claim is **not** “abolish competition and pricing.” It is this:

*The collaborative system keeps **as much friendly competition — and pricing — as it takes to capture at least the full benefit a competitive system would produce.***

Where competition is the better tool, it runs a competition. Where collaboration is the better tool, it collaborates. Either way, **the rewards are shared evenly.**

Stated formally, the collaborative frame **weakly dominates** the competitive one — a *dominant strategy* in the decision-theoretic sense: at least as good in every case, and strictly better in some. It never sacrifices the efficiency competition is good at (it switches competition on exactly where that efficiency lives, price signals included), it adds the cases where collaboration produces more, and it changes *who keeps the proceeds* — evenly held instead of concentrated. **“At least as much value created; more evenly shared.”** That is far stronger and more defensible than “collaboration always wins,” and it is the claim to build the essay on. It also makes the link back to Pillar 1 exact: this is how you get competition’s output *without* competition’s tendency to concentrate wealth and debt in fewer and fewer hands.

## Placement recommendation: a new, fourth essay

The three existing essays are *We Never Agreed* (the broad case for change), *The Shape of Your Digital Shadow* (data rights), and *Ambition Against Ambition* (how power is divided). None of them carries the **economic** argument — *why a collaborative internet produces more real value than a competitive one*. That is a distinct thesis and substantial enough to stand alone. It also completes the set cleanly:

- **We Never Agreed** — why the present internet is a choice, not a fate.
- **Shadow** — what your data is and who should profit from it.
- **Ambition** — how power, money, and authority are divided so none can rule.
- **(new)** — why dividing it *this* way produces more value, not less: the economics of collaboration.

Fold it into *Ambition* and you blur that essay’s focus (governance) with a different lens (economics); fold it into *We Never Agreed* and you weigh down the accessible pamphlet with dense argument. A dedicated essay is the right home, with three cross-links:

- to **Ambition** — that essay treats friendly competition as a *governance* mechanism (cheap exit, so power can’t concentrate); this essay establishes the deeper principle that friendly competition is a *tool collaboration can pick up*. One states the rule; the other applies it.
- to **Shadow** — the data-non-rivalry pillar (below) is *why* pooling shadows produces more value; Shadow says what a shadow is, this essay says what sharing one is worth.
- to the **Declaration / brief** — the debt-concentration critique can seed one grievance line and one passage in the brief’s vision, without the full argument living there.

(This recommendation was adopted: the fourth essay is now *The Longer Race*.)

## The evidence base, mapped to each claim

### Pillar 1 — “The problem is debt concentration, not inequality as such”

The recording’s sharpest and least obvious point, and it has real support.

- Mian & Sufi, *House of Debt*.<sup>1</sup> The standard modern reference for treating debt as a

distributional and power question, not only a financial one: the concentration of the economy's *debt*, not just income, is what makes downturns severe and recoveries lopsided, with debtors bearing the losses first and hardest while creditors are insulated.

- **Piketty, *Capital in the Twenty-First Century*.**<sup>2</sup> The famous  $r > g$ : when the return on capital outruns growth, wealth concentrates structurally across generations — useful for the “shrinking number of holders” half of the claim, though the thesis is influential and contested rather than settled.
- **Graeber, *Debt: The First 5,000 Years*.**<sup>3</sup> A long historical case that debt is fundamentally a *moral and power* relationship between people, not a neutral financial instrument — direct support for “the debtor/holder dynamic is the wrong to reverse.”
- **Hudson, *Killing the Host*.**<sup>4</sup> How financial claims (debt) can grow faster than the real economy that must service them — the “growing many indebted to a shrinking few” dynamic stated in macro terms.
- **The productivity–pay gap literature.**<sup>5</sup> Documents the “living standards rose, but the gains split unevenly” half of the recording’s concession.

*Accessible version:* a gap in income is just a gap. A debt is a *leash* — it gives one party a standing claim on another’s future work. When more and more people are on the leash and fewer and fewer hold it, the trend is toward dependence, whatever the average standard of living. The aim is to reverse the trend *by consent*, not by force.

## Pillar 2 — “Collaboration is the more general frame”

The founder’s logical point is sound and maps onto standard game theory.

- **The Prisoner’s Dilemma.**<sup>6</sup> The competitive (self-interested) equilibrium, the **Nash equilibrium**, is *worse for everyone* than the collaborative outcome: the canonical proof that “everyone competing” can be collectively self-defeating, reaching an outcome competition cannot.
- **Axelrod, *The Evolution of Cooperation*.**<sup>7</sup> In *repeated* interaction, collaborative strategies (famously **tit-for-tat**) beat purely competitive ones over time. Collaboration is not naïve; it is *strategically superior* when the game is played more than once, and a network is the ultimate repeated game.
- **Mechanism design.**<sup>8</sup> A collaborative framework can *contain* a competitive sub-mechanism — a tournament, an auction, a market — and switch it on when that is the efficient way to allocate or discover something. The reverse doesn’t hold: a bare competition has no neutral frame in which to coordinate, so it cannot “decide” to collaborate without something outside it. This is the rigorous form of the recording’s claim.

*Accessible version:* a collaborative can hold a race; a race cannot hold a collaborative. The bigger circle can draw the smaller one inside it.

## Pillar 3 — “The relay beats everyone-runs-alone” (specialization, not duplication)

The two foot-races are a clean retelling of two of the oldest results in economics.

- **Smith, *The Wealth of Nations* — the division of labor.**<sup>9</sup> The pin factory: output multiplies when people specialize instead of each doing the whole task. The relay is the division of labor in motion.
- **Ricardo — comparative advantage.**<sup>10</sup> Total output is highest when each party does what it is *relatively* best at and the results are pooled — exactly the relay’s logic of “fastest run, others rest, then swap.”
- **The economics of wasteful duplication.**<sup>11</sup> A literature on *patent races* and duplicated R&D shows that pure competition often produces *socially wasteful duplication* — many actors each

paying the full cost to chase the same prize. “Everyone runs the whole distance alone” is duplicated effort with a formal name.

*Accessible version:* competition can make ten people each build the same bridge. Collaboration builds one bridge and sends everyone across. For anything that can be *shared* once it’s built, that gap is the whole game — which is the next pillar.

#### Pillar 4 — Why a *collaborative internet* specifically wins (the strongest pillar)

This is where the argument stops being general and becomes *about the internet*. The internet’s core goods — data, software, networks, knowledge — are **non-rival**: my using them doesn’t use them up. For non-rival goods, *sharing* is not charity; it is the efficient outcome, and *hoarding* is the waste.

- **Jones & Tonetti, “Nonrivalry and the Economics of Data.”**<sup>12</sup> The central result: because data is non-rival, the *socially efficient* arrangement is for data to be **broadly used**, and the key question is *who controls it*. Firms hoarding data behind walls leave value on the table; arrangements that let data be widely used (with the person retaining control) create more total value. **This is the academic backbone of “a collaborative data internet produces more real value.”**
- **Benkler, “Coase’s Penguin” and *The Wealth of Networks*.**<sup>13</sup> Names and documents **commons-based peer production** — Linux, Wikipedia — where large-scale voluntary collaboration *outproduces* both firms and markets for information goods. The proof-of-concept that collaborative production scales to world-class output.
- **Ostrom, *Governing the Commons*.**<sup>14</sup> Decades of field evidence that communities **voluntarily and durably** govern shared resources — refuting the claim that a commons must collapse. The empirical answer to “wouldn’t shared ownership fall apart?” and the anchor for the recording’s insistence on *voluntary* collaboration. It sits directly against Hardin’s “tragedy of the commons,”<sup>15</sup> whose pessimism Ostrom showed was a design failure, not a law of nature.
- **Network effects and the deadweight loss of enclosure.**<sup>16</sup> Standard microeconomics: a **monopoly** withholds output to protect price, creating **deadweight loss** — value that simply vanishes. Walled, competing networks fragment what could be one connected whole; **open protocols** (email, the web itself) are collaborative infrastructure that captured those network effects *for users*. The collaborative internet is “let the network be one network, and let the value land on the people in it.”

*Accessible version:* if a thing gets *used up* when shared, a sandwich, competition for it makes sense. If a thing *doesn’t* get used up when shared — a song, a map, a dataset, a network — then walling it off destroys value for no reason. Almost everything valuable on the internet is the second kind. A collaborative internet is just one that stops pretending otherwise.

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### The honest counterweight (so the essay can’t be knocked over)

The recording says a collaborative system will **always** outperform a competitive one. As stated, that’s too strong, and a sharp reader will know it. Competition has real virtues the essay should *concede and then absorb*:

- **The knowledge problem.**<sup>17</sup> Prices in a competitive market aggregate dispersed information that no central planner can gather — the strongest case *for* competition and *against* naïve central coordination, and the reason the project must be **voluntary and decentralized**, not a single planner.

- **Discovery and innovation incentives.** Competition pressure-tests ideas and rewards the ones that work. You don't want to lose that.

The founder's refinement settles this directly: keep competition **and pricing** wherever they pay, so nothing competition is good at is lost, share the rewards evenly, and collaborate only where collaboration genuinely dominates. The defensible thesis, then, and it is *stronger*, not weaker, is the one the recording itself implies: **collaboration is the superior frame because it can deploy competition as a tool, and for the internet's non-rival, networked goods, the collaborative frame produces more real value for users than enclosure does.** Note that this also dispatches the "isn't this just socialism?" worry: the failure mode Hayek identified is *coercive central planning*, and the model here is the opposite — *voluntary* collaboration in the lineage of Ostrom's commons and Benkler's peer production. Not the state seizing the shadows; the people choosing to pool them.

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## Keeping it accessible (a note for drafting)

- **Principle first, evidence second.** Lead with the runner/relay pictures — they're the founder's own, and they teach the whole argument before a single citation appears. Hang the sources on the principles as light support, not as the spine.
- **Define every term in plain words the first time** (non-rival = "doesn't get used up when shared"; deadweight loss = "value that just vanishes"; Nash equilibrium = "what you get when everyone looks out only for themselves").
- **Two simple visuals carry most of the load:** the two foot-races side by side, and the "sandwich vs. song" picture of rival vs. non-rival goods.
- **Concede competition's strengths out loud.** Honesty is persuasive; the essay wins by *absorbing* competition into a bigger frame, not by denying it works.

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## SOURCES & NOTES

1. Atif Mian and Amir Sufi, *House of Debt* (University of Chicago Press, 2014). *Load-bearing; verified.* ↩
2. Thomas Piketty, *Capital in the Twenty-First Century* (Belknap / Harvard University Press, 2014) — the  $r > g$  thesis (returns on capital outpacing growth tend to concentrate wealth). *Supporting; verified. Cited as Piketty's argument, which is influential but contested, not as settled fact.* ↩
3. David Graeber, *Debt: The First 5,000 Years* (Melville House, 2011). *Supporting; verified.* ↩
4. Michael Hudson, *Killing the Host* (2015) — the FIRE sector (finance, insurance, real estate) as a rent-extracting "parasite" on the productive economy. *Supporting; verified.* ↩
5. Economic Policy Institute, "The Productivity–Pay Gap" — U.S. productivity has far outpaced typical workers' pay since 1979; on a median-worker basis, net productivity rose 59.7% versus 15.8% for median compensation over 1979–2019. The exact multiple depends on the wage measure used. *Supporting; verified.* ↩
6. The Prisoner's Dilemma and the Nash equilibrium (John Nash, 1950) — standard game theory. *Standard reference.* ↩
7. Robert Axelrod, *The Evolution of Cooperation* (Basic Books, 1984). *Load-bearing; verified.* ↩
8. Mechanism design in the Hurwicz–Maskin–Myerson tradition (Nobel Prize in Economic Sciences, 2007). *Standard reference.* ↩
9. Adam Smith, *An Inquiry into the Nature and Causes of the Wealth of Nations* (1776), Book I — the division of labor. *Standard reference.* ↩
10. David Ricardo, *On the Principles of Political Economy and Taxation* (1817), ch. 7 — comparative advantage. *Standard reference.* ↩
11. Glenn C. Loury, "Market Structure and Innovation," *Quarterly Journal of Economics* 93, no. 3 (1979): 395–410; and Partha Dasgupta and Joseph Stiglitz, "Industrial Structure and the Nature of Innovative Activity," *Economic Journal* 90 (1980): 266–293 — competitive R&D "racing" can drive socially wasteful duplication of effort. *Supporting; verified.* ↩
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(2020): 2819–58; NBER WP 26260; DOI 10.1257/aer.20191330. *Load-bearing; verified against the live source.*  
<https://www.aeaweb.org/articles?id=10.1257/aer.20191330> ↩

13. Yochai Benkler, “Coase’s Penguin, or Linux and the Nature of the Firm,” *Yale Law Journal* (2002); and *The Wealth of Networks* (Yale University Press, 2006). *Load-bearing; verified.* ↩
14. Elinor Ostrom, *Governing the Commons* (Cambridge University Press, 1990); Nobel Prize in Economic Sciences, 2009. *Load-bearing; verified.* ↩
15. Garrett Hardin, “The Tragedy of the Commons,” *Science* 162 (1968) — the foil whose pessimism Ostrom’s fieldwork answered. *Load-bearing; verified.* ↩
16. Monopoly deadweight loss and network effects — standard microeconomics. *Standard reference.* ↩
17. Friedrich A. Hayek, “The Use of Knowledge in Society,” *American Economic Review* 35, no. 4 (1945); and the socialist-calculation debate (Mises and Hayek vs. Lange). *Standard reference.* ↩